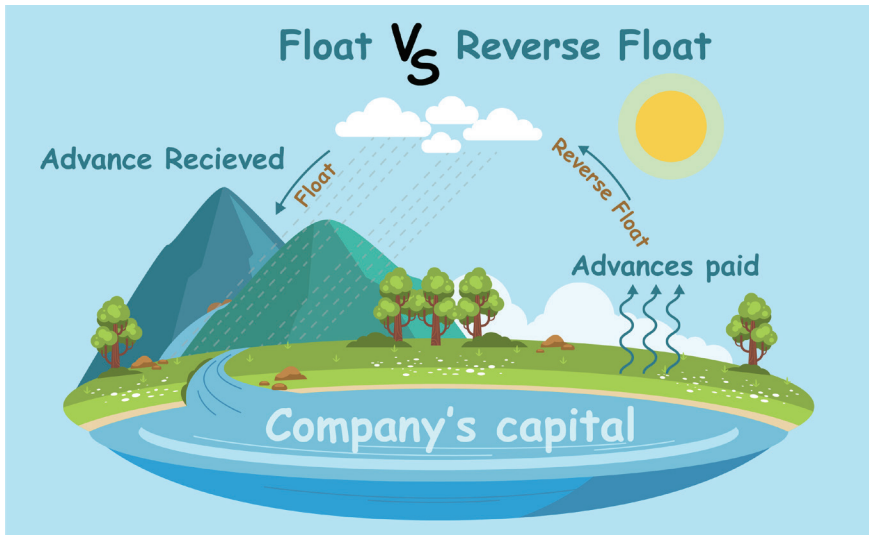


The company will need to get this capital either as debt or equity and bear the cost of capital. However, these assets will not earn any return for the company as such and as a result, the cost of capital will go up for the company but return on capital would be relatively lower. If the company is able to finance Reverse float like items by float like items from its suppliers, then the company might get attractive return on capital.

Generally speaking, Reverse Float items are usually found in short-term loans and advances (account receivable or prepaid expenses). You must identify all such items. You must understand the two categories, **float items and reverse float items** and learn to differentiate between them. For one, you are getting capital for free. For the other, you are giving capital for free.



Now that we understand Float like items and reverse float like items, we should spend time in identifying them on different balance sheets. Higher the float, better it is generally and lower the reverse-float like items, better it is. This understanding will come in handy going ahead when we fill in the excel sheets.

In the next unit, we will discuss a new topic, 'Fixed assets.'